

man and MD & CEO Sashidhar Jagdishan over various issues. Industry sources say Chakraborty perhaps also wanted a review of Jagdishan's tenure, coming up for renewal later this year. Analysts say it was more a clash of personalities. "We acknowledge a statement does not materialise out of thin air or precedent. It is likely that the outgoing chairman had differences of opinion with the management group. From a mega-merger that weighed heavy on balance sheet optimisation to lacklustre stock performance of HDB after listing, large issues are at stake," says BNP's Chakrabarti.

Ravi Varanasi, founding partner at SPRV Consultants, a boutique consultancy focusing on corporate regulation and governance, does not see "any structural or financial problem at HDFC Bank." But "there seemed to be some simmering discontent," he says. Mistry says there was no power struggle. "Differences due to power issues do come up from time to time but there was nothing material whatsoever," he said recently.

However, in a television interview on March 30, Chakraborty reiterated the problem of values and ethics. One issue he raised was developments in the Dubai branch. Earlier this month, the bank fired three executives following an internal investigation over alleged mis-selling of high-risk AT1 (Additional Tier-1) bonds of Credit Suisse to NRI clients, primarily through the Dubai branch. The action came after the Dubai Financial Services Authority barred HDFC Bank's DIFC branch in September 2025 from conducting business with new customers or soliciting or engaging in financial promotions with new clients. It was alleged to be provid-



“The RBI had not found any material concern around governance or conduct in their general supervision”

SANJAY MALHOTRA
RBI GOVERNOR



“Banks are by nature opaque and leveraged. The near-automatic instinct to assume the worst is understandable”

SANTANU CHAKRAVARTI
DIRECTOR AND HEAD OF RESEARCH
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ing financial services to customers not onboarded by the DIFC branch. Credit Suisse faced liquidity issues and had to be bailed out by rival UBS in 2023. The AT1 bonds were written off. The sacking of the three executives was a "posterior reaction", and these conduct issues should not arise in the first place, Chakraborty said in the interview, perhaps hinting that the action had been delayed.

OTHER ISSUES

HDFC Bank has also been facing other issues. A month after Jagdishan took charge as MD & CEO in 2020, the RBI barred HDFC Bank from issuing new credit cards and launching new digital products in the wake of multiple glitches on the digital banking platform. The ban on issuing cards was lifted

in August 2021. The restrictions related to the digital launches were lifted in March 2022. Last year, RBI imposed a penalty on HDFC Bank for several lapses, including those related to KYC (know your customer) norms.

HDFC Bank has for years been a favourite stock of domestic as well as foreign institutional investors for steady earnings and management stability. The lender reported a net profit of ₹18,654 crore in the October-December quarter, up 11.5% from a year ago. The net interest income stood at ₹32,620 crore, up 6.4% YoY. As of December 2025, foreign portfolio investors held 47.75% stake in the bank. Domestic institutions held around 37.25%.

Restoring their confidence and ensuring stability will be the key tasks for Mistry.